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A MICAR PRIMER

Euro Stablecoins

Regulated digital money, explained.

THE BIG IDEA

What is a stablecoin?

A token designed to hold a stable value against a reference asset — almost always a fiat currency, almost always 1:1.

Think of it as **digital cash on smart-contract rails** — the unit of account is unchanged; the substrate is a token contract, not a bank deposit.

RHYMES WITH

Money order	Bearer instrument, par redemption
E-money (Revolut, PayPal)	Pre-paid balance, redeemable at par
Money market share	Constant NAV, reserve-backed
Commercial bank deposit	Issuer liability, par convertibility

MECHANICS

How a stablecoin actually works

STEP 01

1

Deposit

User wires fiat to the issuer (or buys on an exchange).

STEP 02

2

Mint

Issuer credits an equivalent amount of tokens to the user's wallet.

STEP 03

3

Reserve

Issuer holds matching cash + T-bills with a regulated custodian.

STEP 04

4

Circulate

Tokens move peer-to-peer, used as payment, collateral, or settlement.

STEP 05

5

Redeem

Holder returns tokens to the issuer; issuer pays out fiat at par.

PEG MECHANICS · the price stays at par because anyone can mint or redeem at par. Arbitrage closes any gap on secondary markets.

ANATOMY OF A STABLECOIN

Half on-chain, half off-chain

The token is a public-ledger entry. The promise behind it lives in regulated bank accounts.



ISSUER

EMI or credit institution

MICAR-LICENSED

Mints, redeems, holds the customer-facing liability.

CUSTODIAN

Holds the reserve assets

BNY Mellon, State Street, BlackRock — regulated banks.

BANK-GRADE CUSTODY

RESERVE

The actual backing

Cash deposits + short-dated T-bills, 1:1 backing.

EARNS THE INTEREST

AUDITOR

Verifies the backing exists

Big-4 firm. Monthly attestation, not full audit.

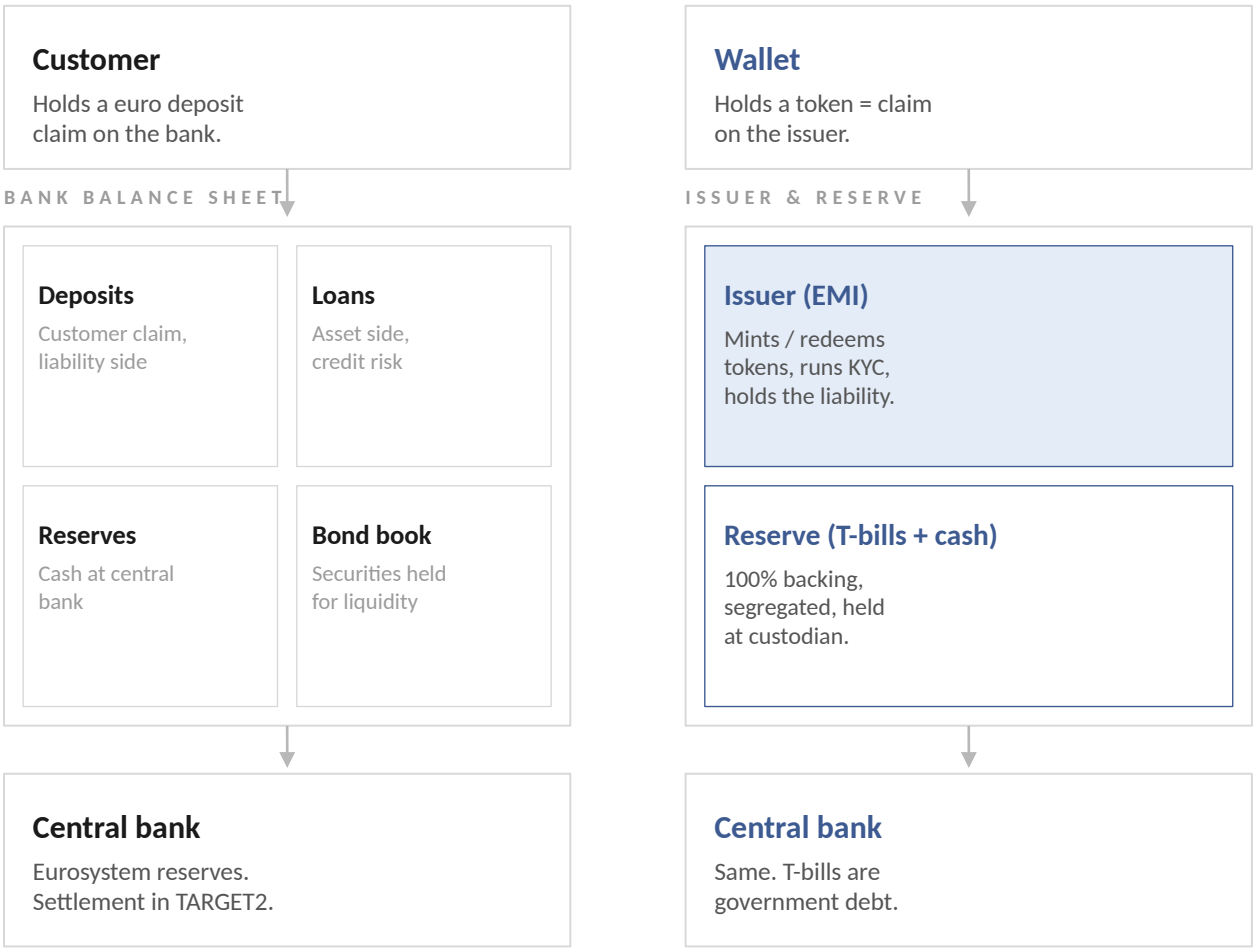
MONTHLY ASSURANCE

THE STRUCTURAL POINT · the on-chain part is one box. The hard part — the regulated bank machinery — sits below the line.

SAME PLUMBING, DIFFERENT STACK

Bank money vs. stablecoin, stacked

Both stack on central-bank money. The retail interface is what changes.



BOTTOM LINE · Stablecoins are narrower banks: 100% reserves, no lending, no deposit insurance, no maturity transformation.

EXAMPLE IN ACTION

Sending €10,000 two ways

Same payment, same amount — through SEPA versus through a euro stablecoin.

SEPA WIRE

YOU INITIATE

€10,000 → recipient IBAN
Weekday cutoffs · TARGET2 hours

ROUTING

Originating bank →
TARGET2 / SCT Inst →
Beneficiary bank →
Recipient account

SETTLEMENT

Time: **Seconds (SCT Inst)** · T+1 cross-border
Cost: ~€0.50 (in-EU)

RECIPIENT RECEIVES

€10,000 in bank account
+ deposit insurance to €100K

EURO STABLECOIN (EURC)

YOU INITIATE

10,000 EURC → wallet address
24/7, any country, any wallet

ROUTING

Wallet signs tx →
Ethereum L2 sequencer batches →
Token balance updates on-chain →
Recipient holds 10,000 EURC

SETTLEMENT

Time: **Atomic, ~2 seconds** · global
Cost: ~€0.01–€0.05 on Ethereum L2

RECIPIENT RECEIVES

10,000 EURC in wallet
+ par redemption right vs. issuer

PROGRAMMABILITY · the wire is just the wire vs. **the token is collateral, payment, escrow**

The settlement-time gap matters less than the composability gap. EURC is a building block; a wire is a one-shot.

TYPES

The four stablecoin models

01

01

Fiat-backed

1:1 reserves of cash + T-bills with a custodian. ~99% of market: USDT, USDC, EURC, PYUSD. The default model.

02

02

Tokenized deposits

Bank liability on a ledger. JPMD, Société Générale EURCV, Qivalis. Bank-issued, FDIC/EU deposit-insurance eligible.

03

03

Crypto-collateralized

Overcollateralized with crypto (e.g. ETH, BTC). DAI, USDe. Decentralized issuance — no bank in the loop.

04

04

Algorithmic

Code-only stabilization, no reserves. Mostly failed (UST/Luna 2022). Survivors are hybrid (Frax). High-risk.

MiCAR: who can issue what, in Europe

Two categories. Different licenses, different ceilings, different audiences.

EMT

E-Money Token

Single-fiat peg (e.g. EUR or USD).

- Reserve held 1:1, redeemable at par on demand.
- Issuer must be a credit institution or e-money institution.
- Daily transaction caps for non-EUR EMTs used in EU payments.

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ART

Asset-Referenced Token

Pegged to a basket — currencies, commodities, or both.

- Higher capital requirements, governance disclosures.
- Subject to ECB / national bank consultation if 'significant'.
- Niche so far — most issuers stay in the EMT lane.

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OUT

Out of scope

Tokens that don't qualify.

- Non-compliant USD stablecoins delisted from EU venues (USDT).
- Tokenized deposits — covered by banking law, not MiCAR.
- CBDC (digital euro) — covered separately by ECB statute.

DELISTING ONGOING

THE YIELD QUESTION

Yield-bearing stablecoins

MiCAR Article 50 *prohibits an EMT from paying interest to holders. The yield product is structurally a separate instrument — and that's by design.*

01

01

Tokenized money-market funds

MMF shares wrapped as ERC-20. Regulated under MiFID/UCITS or US '40 Act — not stablecoins. Yield ~4–5%, daily NAV.

BUIDL · BENJI · USDY · USTB

02

02

Wrapped / staked DeFi stablecoins

Base coin stays at par; the wrapper accrues yield. Sources vary — perp funding, RWA baskets, lending spreads. Higher yield, more risk.

sUSDe · sUSDS · sFRAX

03

03

Tokenized bank deposits

Bank liability on a ledger; pays the bank's deposit rate. Deposit insurance applies up to local limits. Currently the cleanest answer for German bank treasury desks.

JPMD · EURCV · Qivalis (planned)

REGULATORY WEDGE · the EU split yield off the EMT on purpose. That makes tokenized MMFs and tokenized deposits the interesting products for European treasury desks — not the stablecoin itself.

ISSUER LANDSCAPE

Who is issuing what, in which currency

USD dominates by ~99% of supply. EUR is small but growing — and mostly bank-issued.

USDT

Tether

Issuer: Tether Holdings (BVI). MCap ~$184B. Largest stablecoin globally — not MiCAR-compliant for EU.

USDC

Circle

Issuer: Circle (US, French EMI for EU). MCap ~$77B. MiCAR-compliant USD EMT.

EURC

Circle

Issuer: Circle (French EMI). MCap ~€405M. Largest euro stablecoin (~40% share).

PYUSD

PayPal

Issuer: Paxos Trust (NY) for PayPal. MCap ~$4B. Retail-distributed via PayPal / Venmo.

EURCV

SG-FORGE

Issuer: Société Générale-FORGE (FR bank subsidiary). MCap ~€100M. Euro tokenized deposit.

QIVL

Qivalis

Issuer: 12-bank EU consortium (DZ Bank, BBVA, BNP Paribas, ING +8). DNB-regulated. H2 2026 launch — Fireblocks-powered.

GEGENÜBERSTELLUNG

Role by role: bank vs. issuer

Stablecoin issuance reuses most of the bank operating model — minus the lending side.

BANK ROLE	HOW IT WORKS	STABLECOIN EQUIVALENT	HOW IT WORKS
Deposit ledger	Records who has how much, on the bank's books.	**Token contract**	ERC-20 ledger on a public chain — visible to anyone.
Cash drawer	Bank reserves at the central bank.	**Reserve account**	Cash + T-bills with a regulated custodian.
Branch / ATM	On/off ramp for paper cash.	**Exchange / ramp**	Coinbase, Binance, Mt Pelerin, etc.
Wire desk	Routes payments via TARGET2 / SWIFT.	**Public chain**	Validators include the transaction in a block.
AML / KYC	Screens customers and counterparties.	**Issuer KYC**	Done at mint/redeem; on-chain controls add freezing.
Central bank	Monetary backstop, lender of last resort.	**T-bill issuer**	Reserve quality = US Treasury credit (or German Bund).
Auditor	Annual audit of the bank's books.	**Reserve attestation**	Monthly Big-4 attestation — not a full audit.
Deposit insurance	FDIC / EU scheme up to €100k per depositor.	**None**	Holders rank as unsecured creditors of the issuer.

THE GAP THAT MATTERS · no lending, no maturity transformation, no deposit insurance. A stablecoin is a 100% reserve bank.

SIDE BY SIDE

Where a stablecoin sits in the money stack

	BANK DEPOSIT	EURO STABLECOIN (EMT)
ISSUER	Commercial bank	**EMI or credit institution**
BACKING	Fractional — loans + reserves	**100% — cash + T-bills, segregated**
INSURANCE	Deposit guarantee to €100k	**None — unsecured claim**
YIELD TO USER	Deposit rate (varies)	**0% — issuer keeps reserve interest**
SETTLEMENT	Seconds (SCT Inst) to T+1	**Atomic, on-chain**
HOURS	TARGET2 / SCT Inst hours	**24 / 7 / 365**
CROSS-BORDER	Correspondent banking + FX	**Same wallet, any country**
PROGRAMMABILITY	Limited	**Native — composable as collateral**
REVERSIBILITY	Recallable in narrow circumstances	**Final on settlement; freeze possible**
PRIVACY	Bank-private	**Pseudonymous on-chain**
REGULATOR	ECB / BaFin (or equivalent)	**ECB / EBA via MiCAR**

NOT A FREE LUNCH

The risks worth understanding

R 1

Depeg risk

Most pegs hold; some break. USDC briefly hit $0.87 during the SVB collapse (March 2023). Algorithmic stablecoins (UST/Luna) lost the entire $40B in a week.

R 2

Reserve composition

Quality of backing varies. Cash + T-bills is safest. Commercial paper, repos, and cross-asset lending have all been used and have all caused stress events.

R 3

Run risk

Stablecoins inherit the worst of bank-run dynamics: claims at par, no insurance. The first redemption in stress is fine; the millionth may not be.

R 4

Counterparty / custody

Reserves sit at custodians and banks. The 2023 USDC depeg was a custody event, not a stablecoin event. Banks fail.

R 5

Regulatory & sanctions

Issuers can freeze tokens at addresses. OFAC-listed wallets are blocked at the contract level. Compliance is a feature for issuers, a risk for holders.

TAKEAWAYS

The one-line summary

01

Stablecoins are settlement infrastructure first.

Treat them as digital cash on smart-contract rails — the value is the rail, not the yield.

02

MiCAR has bifurcated the market.

EU-compliant EMTs are now a distinct category. Non-compliant USD stablecoins are losing EU venues.

03

Banks are issuers in the new stack.

Qivalis, JPMD, EURCV — the next round of euro stablecoins comes from Frankfurt and Paris, not California.

04

The regulator chose 100% reserves on purpose.

EMTs are narrower banks by design. No lending, no maturity transformation — and no deposit insurance to compensate.

GET IN TOUCH

Let's continue the conversation.



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This deck is a primer, not investment, legal, or regulatory advice. Stablecoin selection depends on jurisdiction, mandate, and operational setup — happy to dig in.